

Essential Fraud Readiness Review

An evidence-linked view of reported readiness, material risk, control priorities and leadership decisions.

PREPARED EXCLUSIVELY FOR

Vhutshilo Foods Manufacturing (Pty) Ltd

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Essential package

CONFIDENTIAL · INTERNAL LEADERSHIP USE

Contents

Executive summary	3
What the result means	4
Domain overview	6
Priority findings, contradictions and scenarios	8
Priority risks	14
Leadership decisions and roadmap	17
Proof requirements	21
Methodology, limitations and next steps	22
Appendix: supporting material	23
Complete supporting detail	23
E1. Supporting control actions	23
E2. Definitions and score basis	25

Executive summary

Fraud controls are not yet consistently embedded.

Reported readiness

43

out of 100

Developing

Overall readiness position

The assessment places Vhutshilo Foods Manufacturing at 43.33 out of 100 and a Developing maturity. This score reflects a mix of partly designed and informal controls across several operational and digital domains, while one area—whistleblowing and reporting culture—was recorded as a relative strength in the profile. The stronger position in the reporting culture does not by itself establish an operational foundation; it is a comparatively stronger assessed domain (Whistleblowing and Reporting Culture at 60.83) that can support improvement work if connected to gaps elsewhere. Other domains in the recorded profile — notably Digital and Identity Fraud Risk, Fraud Risk Identification, Operational Fraud Controls, Fraud Detection Capability and Continuous Improvement and Monitoring — show lower assessed positions and material gaps that constrain overall readiness. The assessment is based on management's responses and the MK scoring method; it is strategic fraud-risk analysis and control design, not independent verification of operating effectiveness.

What is shaping the readiness position

Five connected themes explain the pattern beneath the score. Identity and access governance captures weaknesses in how sensitive and privileged access is restricted, logged and recertified; supplier and payment integrity highlights incomplete supplier identity, ownership and banking checks before activation; monitoring, escalation and detection coverage signals that analytics and rule-based detection are partly designed and not yet closing coverage gaps; incident response and evidence integrity show that evidence preservation and case custody remain informal; and fraud governance and risk-management discipline points to the need for a repeatable governance rhythm that maps fraud scenarios to process owners. Together these themes describe a profile in which partial or incomplete controls at supplier, access and detection points create conditional pathways for value diversion, and in which event containment and continuous improvement are not yet consistently sustained by process-level ownership and signed controls.

What this means for management

Management should treat the assessed position as a clear starting point for prioritized action: the organisation has a comparatively stronger reporting culture that can be leveraged, but several material control and design gaps need rapid, owned remediation to reduce conditional exposure. Given the Developing maturity score, the immediate implication is to convert the relative strength in reporting into routine intake and preservation practice, assign accountable owners for the priority treatment actions, and approve the sequencing and resources required to make the control changes visible and auditable within the next 90 days.

COVERAGE

100%

CRITICAL GAPS

6

MAJOR GAPS

3

Assessment scope and limitations

APPLICABLE CONTROLS 60	CONTROL VISIBILITY 100%	EXCLUDED AREAS 8	UNCERTAINTY RESPONSES 0
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The result reflects the control areas applicable to the organisation. Valid scope exclusions and oversight-routed controls are part of the adaptive assessment design; differences in assessed scope may limit direct comparison with other assessments.

4 control areas were completed using the assessment's oversight question set rather than the standard question set. They remain in the scored scope. Excluded areas are outside the assessed scope and are not treated as weaknesses.

The aggregate result and its ten underlying domains

The Developing result describes the reported self-assessment position. It does not, by itself, establish operating effectiveness.

Fraud Leadership and Governance 42 Developing	Fraud Risk Identification 39 Reactive	Operational Fraud Controls 41 Developing	Fraud Detection Capability 41 Developing	Fraud Incident Response 44 Developing
Whistleblowing and Reporting Culture 61 Structured	Third-Party and Supply Chain Fraud Risk 47 Developing	Digital and Identity Fraud Risk 38 Reactive	Fraud Culture and Awareness 57 Developing	Continuous Improvement and Fraud Risk Monitoring 41 Developing

What the result means

The recorded conditions requiring first attention

CRITICAL CONTROL GAP · FRAUD RISK IDENTIFICATION Fraud risks are mapped to the organisation’s important processes. This recorded condition is considered in the diagnosis, priority findings, risks and roadmap that follow where it is material to the executive priority set.
CRITICAL CONTROL GAP · OPERATIONAL FRAUD CONTROLS The organisation retains assurance over supplier identity, ownership and initial banking checks performed on its behalf. This recorded condition is considered in the diagnosis, priority findings, risks and roadmap that follow where it is material to the executive priority set.
CRITICAL CONTROL GAP · OPERATIONAL FRAUD CONTROLS System and data access is granted against current role requirements. This recorded condition is considered in the diagnosis, priority findings, risks and roadmap that follow where it is material to the executive priority set.

CRITICAL CONTROL GAP · FRAUD DETECTION CAPABILITY

Analytics, rules, reports or data checks are used to identify suspicious transactions, behaviour or control exceptions.

This recorded condition is considered in the diagnosis, priority findings, risks and roadmap that follow where it is material to the executive priority set.

CRITICAL CONTROL GAP · FRAUD INCIDENT RESPONSE

Evidence linked to suspected fraud is identified, preserved and handled appropriately.

This recorded condition is considered in the diagnosis, priority findings, risks and roadmap that follow where it is material to the executive priority set.

CRITICAL CONTROL GAP · DIGITAL AND IDENTITY FRAUD RISK

Access to sensitive systems, administrator rights and confidential data is restricted.

This recorded condition is considered in the diagnosis, priority findings, risks and roadmap that follow where it is material to the executive priority set.

Where a strong average can still hide a real gap

MATURITY CEILING · FRAUD RISK IDENTIFICATION

Fraud risks are mapped to the organisation's important processes.

This rule sets a maximum maturity of **Developing**. More than one ceiling may apply at the same time; the strictest applicable ceiling governs the final maturity. The recorded condition remains subject to the operating proof specified in this report.

MATURITY CEILING · OPERATIONAL FRAUD CONTROLS

Supplier onboarding verifies business identity, ownership and initial banking information before approval.

This rule sets a maximum maturity of **Structured**. More than one ceiling may apply at the same time; the strictest applicable ceiling governs the final maturity. The recorded condition remains subject to the operating proof specified in this report.

MATURITY CEILING · CROSS-DOMAIN

Three or more critical controls scored 0, 1 or 2.

This rule sets a maximum maturity of **Developing**. More than one ceiling may apply at the same time; the strictest applicable ceiling governs the final maturity. The recorded condition remains subject to the operating proof specified in this report.

MATURITY CEILING · FRAUD RISK IDENTIFICATION

Core domain Fraud Risk Identification scored below 40.

This rule sets a maximum maturity of **Developing**. More than one ceiling may apply at the same time; the strictest applicable ceiling governs the final maturity. The recorded condition remains subject to the operating proof specified in this report.

Core domain Fraud Leadership and Governance scored below 60.

This rule sets a maximum maturity of **Structured**. More than one ceiling may apply at the same time; the strictest applicable ceiling governs the final maturity. The recorded condition remains subject to the operating proof specified in this report.

Management response: see the leadership roadmap section for accountable executive mandates, escalation authority and the fraud-risk implementation and control-effectiveness review cadence.

A domain score is an average. It can still contain one specific control that is materially weaker than the others feeding into the same number. The purpose of this report is to surface that unevenness so leadership does not treat the overall score as a substitute for control-level attention.

DOMAIN OVERVIEW

Domain overview

The systemic pattern

At a systemic level the profile shows a common causal relationship: incomplete process-level risk identification and ownership leaves control design and monitoring work untethered to the specific fraud scenarios that matter. Where fraud risks are described at an organisational level, they are not yet consistently mapped to material processes with signed treatment owners; this makes it harder to prioritise supplier, access or detection improvements in the areas where they will interrupt real diversion routes. In parallel, supplier onboarding checks and role-based access design are partly designed or informal, creating entry points for manipulated supplier relationships and unauthorised privileged activity. Detection capability is present but only partly designed, so anomaly coverage is not yet guaranteed across the transaction population. Finally, incident response and evidence preservation are informal in places, which weakens immediate containment and the ability to learn from incidents. These elements combine: unmapped process risk allows gaps in supplier and access controls to persist; incomplete detection lets suspicious activity continue unchallenged; and weak preservation and response leave management unable to contain, investigate and remediate with confidence.

Foundations: ownership, awareness and reporting culture

Executive ownership, risk identification, workforce awareness and safe reporting.

Fraud Leadership and Governance

42/100

Developing reported position.

Fraud Risk Identification

39/100

Reactive reported position.

Critical condition: Fraud risks are mapped to the organisation's important processes.

Fraud Culture and Awareness

57/100

Developing reported position.

Whistleblowing and Reporting Culture

61/100

Structured reported position.

Operational defence: controls, detection and third parties

Day-to-day prevention, detection and supplier-facing control operation.

Operational Fraud Controls

41/100

Developing reported position.

Priority condition: The organisation retains assurance over supplier identity, ownership and initial banking checks performed on its behalf.

Critical condition: System and data access is granted against current role requirements.

Fraud Detection Capability

41/100

Developing reported position.

Priority condition: Analytics, rules, reports or data checks are used to identify suspicious transactions, behaviour or control exceptions.

Third-Party and Supply Chain Fraud Risk

47/100

Developing reported position.

Response and evolution: incidents, digital risk and improvement

Incident response, digital and identity defence, and continuous control improvement.

Fraud Incident Response

44/100

Developing reported position.

Priority condition: Evidence linked to suspected fraud is identified, preserved and handled appropriately.

Digital and Identity Fraud Risk

38/100

Reactive reported position.

Priority condition: Access to sensitive systems, administrator rights and confidential data is restricted.

Continuous Improvement and Fraud Risk Monitoring

41/100

Developing reported position.

Priority findings, contradictions and scenarios

8 conditions were selected for executive attention from 25 recorded findings. The complete register of all 25 findings is provided in the Essential Supporting Register (RPT-MKFRS-V12-COMP-VHUTSHILO-V1-supporting-register.xlsx).

Role distinction: Control owner identifies the role responsible for implementing or operating the control. Accountable executive identifies the executive role responsible for sponsorship, decision rights and escalation. The two roles may legitimately differ.

Value diversion through supplier and payment processes

Supplier onboarding and supplier payment-instruction changes have been assessed as partly designed. The material implication is that supplier identity, ownership and initial banking checks are not consistently evidenced before activation, and the vendor population can therefore include suppliers that have not passed an independent pre-activation verification. Without independent verification and a second-review approval prior to ERP activation, supplier or bank-detail changes may be used to redirect payments before an independent challenge occurs.

Weak challenge at identity, transaction and sensitive-change points

Analytics and rule-based detection and monitoring are partly designed and incomplete. That means data checks, rules and tuned alerts are not yet guaranteed to cover all priority fraud scenarios, and exception review and escalation practices are not fully defined. As a result, unusual transactions, approval patterns or changes to sensitive records can remain below timely challenge because the monitoring catalogue, execution and monthly tuning required to surface those exceptions are not yet complete.

Limited containment and learning after suspected fraud

Evidence preservation and custody are assessed as informal or reactive. The organisation's ability to identify, preserve and handle evidence linked to suspected fraud is not yet consistently controlled. This limits immediate containment options and reduces the organisation's capacity to convert a suspected matter into verifiable evidence and management learning, increasing the risk that repeat exposure remains possible.

Additional material control pattern

A distinct group of material observations covers privileged and ordinary access governance, conflict-of-interest declarations and workforce reporting ability. Privileged and administrator access governance is informal, and role-based user-access governance is partly designed; conflict-of-interest declaration and management for supplier-related roles remains informal; workforce ability to use reporting channels is partly designed. These observations together point to the need for named privileged-account management and routine recertification, reconciliation of role-based access against current responsibilities, formalised conflict declarations tied to vendor master checks, and a tested reporting channel so that people can raise concerns that flow into governed incident handling.

MATERIAL FINDING 1

MATURITY CONSTRAINT

Fraud Risk Identification: Fraud risks are mapped to the organisation's important processes.

DOMAIN

Fraud Risk Identification

DIAGNOSIS

Process-level fraud risk mapping was self-assessed as "Informal / reactive" (Some activity occurs, but it is informal, reactive or dependent on individual effort; normalised score 20/100). This is self-reported and requires the listed operating evidence before it can be treated as verified.

ASSESSED CONTROL STATE

Fraud risks are mapped to the organisation's important processes.
— Informal / reactive

WHY IT MATTERS

This is a maturity-limiting control condition. Management should implement the recommended control and obtain the specified operating proof before treating the condition as resolved or relying on a higher maturity position.

RECOMMENDED CONTROL

The Risk / compliance accountable owner must produce a process-by-process fraud map covering every material value-bearing process: for each, record the fraud scenarios, the roles and system permissions able to execute them alone or in collusion, the preventive and detective controls relied upon, and the residual gap; process owners sign their own map, and any process without a mapped control owner escalates to the fraud-risk executive.

ACCOUNTABLE EXECUTIVE

Finance / operations accountable owner

REMAINING LIMITATION

Self-reported assessment response only; no document, interview, transaction sample or system evidence has been independently verified.

CONTROL OWNER

Risk / compliance accountable owner with named process owners

IMPLEMENTATION

Moderate difficulty · 90 days

MATERIAL FINDING 2

MATURITY CONSTRAINT

Operational Fraud Controls: The organisation retains assurance over supplier identity, ownership and initial banking checks performed on its behalf.

DOMAIN

Operational Fraud Controls

DIAGNOSIS

Supplier-onboarding verification was self-assessed as "Partly designed" (The capability has been partly designed, but important elements are incomplete or inconsistent; normalised score 40/100). This is self-reported and requires the listed operating evidence before it can be treated as verified.

RECOMMENDED CONTROL

Procurement performs a pre-activation checklist across every proposed supplier, independently verifies registration and bank ownership, screens beneficial owners and conflicts, risk-rates the supplier, and blocks ERP activation until a second reviewer signs; the vendor master retains the evidence package.

ACCOUNTABLE EXECUTIVE

Finance / operations accountable owner

REMAINING LIMITATION

Self-reported assessment response only; no document, interview, transaction sample or system evidence has been independently verified.

ASSESSED CONTROL STATE

The organisation retains assurance over supplier identity, ownership and initial banking checks performed on its behalf. — Partly designed

WHY IT MATTERS

This is a maturity-limiting control condition. Management should implement the recommended control and obtain the specified operating proof before treating the condition as resolved or relying on a higher maturity position.

CONTROL OWNER

Procurement / Vendor Master

IMPLEMENTATION

Moderate difficulty · 60 days

MATERIAL FINDING 3

PRIORITY CONTROL WEAKNESS

Digital and Identity Fraud Risk: Access to sensitive systems, administrator rights and confidential data is restricted.

DOMAIN

Digital and Identity Fraud Risk

ASSESSED CONTROL STATE

Access to sensitive systems, administrator rights and confidential data is restricted. — Informal / reactive

DIAGNOSIS

Privileged and administrator access governance was self-assessed as "Informal / reactive" (Some activity occurs, but it is informal, reactive or dependent on individual effort; normalised score 20/100). This is self-reported and requires the listed operating evidence before it can be treated as verified.

RECOMMENDED CONTROL

IT Security must maintain a complete sensitive-access inventory, require named identities and strong authentication, enforce least privilege and session logging, and remove access when the business justification ends; periodic recertification is handled by the separate access-review control.

ACCOUNTABLE EXECUTIVE

Technology / security accountable owner

REMAINING LIMITATION

Self-reported assessment response only; no document, interview, transaction sample or system evidence has been independently verified.

WHY IT MATTERS

This is a priority control weakness under the MK methodology. Management should implement the recommended control and obtain the specified operating proof before treating the condition as resolved or relying on a higher maturity position.

CONTROL OWNER

Identity and Access Management

IMPLEMENTATION

High difficulty · 60 days

MATERIAL FINDING 4

PRIORITY CONTROL WEAKNESS

Fraud Incident Response: Evidence linked to suspected fraud is identified, preserved and handled appropriately.

DOMAIN

Fraud Incident Response

DIAGNOSIS

Fraud evidence preservation and chain of custody was self-assessed as "Informal / reactive" (Some activity occurs, but it is informal, reactive or dependent on individual effort; normalised score 20/100). This is self-reported and requires the listed operating evidence before it can be treated as verified.

RECOMMENDED CONTROL

The investigation lead opens an evidence register for every material case; trained custodians identify sources, create forensic copies or sealed originals, record hashes/seal numbers, collector/time/location and every transfer, store evidence in access-controlled repositories, and escalate any custody break immediately to Legal.

ACCOUNTABLE EXECUTIVE

Legal / investigations accountable owner / Finance / operations accountable owner

REMAINING LIMITATION

Self-reported assessment response only; no document, interview, transaction sample or system evidence has been independently verified.

ASSESSED CONTROL STATE

Evidence linked to suspected fraud is identified, preserved and handled appropriately. — Informal / reactive

WHY IT MATTERS

This is a priority control weakness under the MK methodology. Management should implement the recommended control and obtain the specified operating proof before treating the condition as resolved or relying on a higher maturity position.

CONTROL OWNER

Investigation lead / Evidence custodian

IMPLEMENTATION

High difficulty · 60 days

MATERIAL FINDING 5

PRIORITY CONTROL WEAKNESS

Operational Fraud Controls: System and data access is granted against current role requirements.

DOMAIN

Operational Fraud Controls

ASSESSED CONTROL STATE

System and data access is granted against current role requirements. — Partly designed

DIAGNOSIS

Role-based user-access governance was self-assessed as "Partly designed" (The capability has been partly designed, but important elements are incomplete or inconsistent; normalised score 40/100). This is self-reported and requires the listed operating evidence before it can be treated as verified.

RECOMMENDED CONTROL

System owners must maintain a current role-to-access matrix, require business-owner approval against the requester's current duties before granting access, separate incompatible initiation and approval rights, and retain the request, approval and provisioning trail.

ACCOUNTABLE EXECUTIVE

Finance / operations accountable owner

REMAINING LIMITATION

Self-reported assessment response only; no document, interview, transaction sample or system evidence has been independently verified.

WHY IT MATTERS

This is a priority control weakness under the MK methodology. Management should implement the recommended control and obtain the specified operating proof before treating the condition as resolved or relying on a higher maturity position.

CONTROL OWNER

Business system owners

IMPLEMENTATION

Moderate difficulty · 60 days

MATERIAL FINDING 6

PRIORITY CONTROL WEAKNESS

Fraud Detection Capability: Analytics, rules, reports or data checks are used to identify suspicious transactions, behaviour or control exceptions.

DOMAIN

Fraud Detection Capability

DIAGNOSIS

Analytics and rule-based detection was self-assessed as "Partly designed" (The capability has been partly designed, but important elements are incomplete or inconsistent; normalised score 40/100). This is self-reported and requires the listed operating evidence before it can be treated as verified.

RECOMMENDED CONTROL

The monitoring owner must maintain a rule catalogue in which every test names the fraud scenario it addresses, the data source, the threshold and the reviewing role; tests include duplicate and near-duplicate payments, supplier and employee bank-detail or address matches, unusual approval pairings, dormant-account reactivation and threshold-adjacent transaction clustering; results reconcile to source control totals and rules are tuned monthly from confirmed true and false positives.

ACCOUNTABLE EXECUTIVE

Finance / operations accountable owner / Technology / security accountable owner

REMAINING LIMITATION

Self-reported assessment response only; no document, interview, transaction sample or system evidence has been independently verified.

ASSESSED CONTROL STATE

Analytics, rules, reports or data checks are used to identify suspicious transactions, behaviour or control exceptions. — Partly designed

WHY IT MATTERS

This is a priority control weakness under the MK methodology. Management should implement the recommended control and obtain the specified operating proof before treating the condition as resolved or relying on a higher maturity position.

CONTROL OWNER

Fraud analytics owner

IMPLEMENTATION

High difficulty · 90 days

MATERIAL FINDING 7

CROSS-DOMAIN DEPENDENCY

Third-Party and Supply Chain Fraud Risk: Employees are required to disclose and manage conflicts of interest involving suppliers or third parties.

DOMAIN

Third-Party and Supply Chain Fraud Risk

DIAGNOSIS

Conflict of interest declaration and management was self-assessed as "Informal / reactive" (Some activity occurs, but it is informal, reactive or dependent on individual effort; normalised score 20/100). This is self-reported and requires the listed operating evidence before it can be treated as verified.

RECOMMENDED CONTROL

The compliance owner must require annual and on-change declarations from every employee able to influence supplier selection, contracting, receipting or payment, covering directorships, shareholdings, family relationships and outside interests; declarations are tested against the vendor master for matching surnames, addresses, contact details and bank accounts, and every declared or detected conflict receives a documented management action such as recusal, reassignment or enhanced review, recorded in a conflict register.

ACCOUNTABLE EXECUTIVE

Finance / operations accountable owner / Legal / investigations accountable owner

REMAINING LIMITATION

Self-reported assessment response only; no document, interview, transaction sample or system evidence has been independently verified.

ASSESSED CONTROL STATE

Employees are required to disclose and manage conflicts of interest involving suppliers or third parties. — Informal / reactive

WHY IT MATTERS

This recorded response and its surrounding exposure make the control materially relevant.

CONTROL OWNER

Compliance with Human Resources

IMPLEMENTATION

Moderate difficulty · 60 days

MATERIAL FINDING 8

CROSS-DOMAIN DEPENDENCY

Whistleblowing and Reporting Culture: Employees know how to recognise suspected fraud and use the reporting channel.

DOMAIN

Whistleblowing and Reporting Culture

DIAGNOSIS

Workforce ability to use the reporting channel was self-assessed as "Partly designed" (The capability has been partly designed, but important elements are incomplete or inconsistent; normalised score 40/100). This is self-reported and requires the listed operating evidence before it can be treated as verified.

RECOMMENDED CONTROL

The ethics owner must publish channel instructions covering how to access it by phone and web, what information helps, whether anonymity is available, what feedback the reporter can expect and the protection from retaliation, in the languages and formats used across operating locations; the channel is tested at least annually with a live submission confirming intake, acknowledgement and case creation, and awareness is measured with targeted follow-up where low.

ASSESSED CONTROL STATE

Employees know how to recognise suspected fraud and use the reporting channel. — Partly designed

WHY IT MATTERS

This recorded response and its surrounding exposure make the control materially relevant.

CONTROL OWNER

Ethics / Compliance lead

ACCOUNTABLE EXECUTIVE
People / workforce accountable owner

IMPLEMENTATION
Low difficulty · 60 days

REMAINING LIMITATION
Self-reported assessment response only; no document, interview, transaction sample or system evidence has been independently verified.

Contradictions

CONTRADICTION 1 Operational and privileged-access weaknesses indicate one systemic access-governance issue	
WHAT THE ASSESSMENT SHOWS	Digital and Identity Fraud Risk — Informal / reactive — Some activity occurs, but it is informal, reactive or dependent on individual effort; Operational Fraud Controls — Partly designed — The capability has been partly designed, but important elements are incomplete or inconsistent
WHY IT MATTERS	Excess access across ordinary and privileged environments can create an end-to-end manipulation and concealment route.
LEADERSHIP VERIFICATION	Is one complete identity, role and recertification population used across ordinary and privileged access reviews?

Scenarios and assurance tests

Conditional exposure pathways

The assessment supports three conditional pathways that help management test prevention, detection and containment. These are not allegations but practical tests of where controls must interrupt a chain of activity.

SUPPLIER OR PAYMENT INSTRUCTION IS DIVERTED THROUGH A COMPROMISED OR FICTITIOUS RELATIONSHIP
A credible pathway begins when a supplier or bank-detail amendment is accepted without independent pre-activation verification and a second reviewer’s approval. In the current environment, supplier-onboarding verification and bank-detail checks are partly designed, so a new or reactivated supplier or a bank-change request shortly before a payment can be an entry point. Warning indicators include a bank-detail change close to a scheduled payment, a new supplier activated without a complete evidence pack, or an urgent bypass of normal callback verification. Immediate containment is to pause the affected supplier or payment instruction, independently confirm beneficiary details through a trusted channel and preserve the approval trail. Longer-term response requires independent supplier and bank-detail verification, enforced dual approval before activation and retention of the onboarding evidence package.

PRIVILEGED ACCESS IS USED TO ALTER A VALUE-BEARING RECORD, ENTITLEMENT OR AUDIT TRAIL
This pathway can begin when privileged, administrative or emergency-access accounts remain usable without independent periodic recertification. The current control weakness is that sensitive access is informal and not consistently recertified or logged. Warning indicators include emergency or administrator access being used outside usual role patterns, unusual changes to records or entitlements, or overdue access-review exceptions. Immediate containment is to suspend or restrict the affected entitlement, preserve access and audit logs, and route the change for accountable review. Long-term measures are role-based access controls, privileged-session logging, quarterly recertification and documented removal tickets with enforceable SLAs for leaver removals.

RECORDS OR REPORTING ARE WEAKENED AFTER A SUSPECTED FRAUD MATTER, ALLOWING EXPOSURE TO REPEAT
This pathway begins when a suspected matter creates records but no formal custody or legal-hold decision is made. Evidence preservation is currently informal, so an actor can delay, alter or fragment records to obscure scope or timing. Warning indicators include custody gaps, unavailable or inconsistent records, or an incident report routed only through the implicated process. Immediate containment is to open an incident record, preserve relevant records under controlled custody and assign a named containment and investigation owner. The long-term response is to establish a protected reporting intake, severity-based escalation, formal evidence preservation and a repeat-exposure review process.

Priority risks

Risk priority is produced by the MK qualitative likelihood/impact matrix. Risks sharing the same priority class are not more finely ranked by their display order. Likelihood and impact are qualitative descriptors, not statistical probabilities. The complete risk register (24 risks) is provided in the Essential Supporting Register (RPT-MKFRS-V12-COMP-VHUTSHILO-V1-supporting-register.xlsx).

RISK 1 · FRAUD RISK IDENTIFICATION

CRITICAL

Organisation-level risk statements hide process-level opportunity, so a specific diversion route such as stock write-off manipulation is never mapped to a control owner.

Because the self-assessment records "Fraud risks are mapped to the organisation's important processes" as "Informal / reactive"; the expected control standard is therefore not yet met, there is a risk that organisation-level risk statements hide process-level opportunity, so a specific diversion route such as stock write-off manipulation is never mapped to a control owner. Consequence pathway: Material process exposures can remain without explicit control ownership or treatment; Unmapped process-level fraud routes can leave value diversion or loss outside targeted controls.

LIKELIHOOD

High — The self-assessment records a hard-gate or maturity-limiting weakness with a very low response; this supports a High qualitative likelihood, not a statistical probability.

IMPACT

Severe — Severe impact reflects the plausible consequence pathway and the critical, hard-gate and cap evidence linked to the consolidated findings.

CURRENT CONTROL POSITION

Fraud Risk Identification: Informal / reactive — Some activity occurs, but it is informal, reactive or dependent on individual effort

REQUIRED TREATMENT

The Risk / compliance accountable owner must produce a process-by-process fraud map covering every material value-bearing process: for each, record the fraud scenarios, the roles and system permissions able to execute them alone or in collusion, the preventive and detective controls relied upon, and the residual gap; process owners sign their own map, and any process without a mapped control owner escalates to the fraud-risk executive.

ACCOUNTABLE EXECUTIVE

Finance / operations accountable owner

TARGET PERIOD

90 days

RISK 2 · FRAUD DETECTION CAPABILITY

CRITICAL

As transaction volume grows, manual review may leave parts of the population without systematic scrutiny; risk-based data checks help surface suspicious patterns for investigation.

Because the self-assessment records "Analytics, rules, reports or data checks are used to identify suspicious transactions, behaviour or control exceptions" as "Partly designed"; the expected control standard is therefore not yet met, there is a risk that as transaction volume grows, manual review may leave parts of the population without systematic scrutiny; risk-based data checks help surface suspicious patterns for investigation. Consequence pathway: Alert backlogs can conceal important anomalies; unreviewed exceptions can allow losses to compound.

LIKELIHOOD

Moderate — Critical-control, scenario or dependency evidence supports a Moderate qualitative likelihood, not a statistical probability.

IMPACT

Severe — Severe impact reflects the plausible consequence pathway and the critical, hard-gate and cap evidence linked to the consolidated findings.

CURRENT CONTROL POSITION

Fraud Detection Capability: Partly designed — The capability has been partly designed, but important elements are incomplete or inconsistent

REQUIRED TREATMENT

The monitoring owner must maintain a rule catalogue in which every test names the fraud scenario it addresses, the data source, the threshold and the reviewing role; tests include duplicate and near-duplicate payments, supplier and employee bank-detail or address matches, unusual approval pairings, dormant-account reactivation and threshold-adjacent transaction clustering; results reconcile to source control totals and rules are tuned monthly from confirmed true and false positives.

ACCOUNTABLE EXECUTIVE

Finance / operations accountable owner / Technology / security accountable owner

TARGET PERIOD

90 days

RISK 3 · FRAUD INCIDENT RESPONSE

CRITICAL

Fraud evidence loses integrity or chain of custody

Because evidence identification, preservation, integrity checks and custody transfers are not consistently controlled, there is a risk that material evidence is altered, lost, contaminated or cannot be shown to be authentic. Consequence pathway: evidence, retention or legal-hold duties may be breached; investigations must be repeated or abandoned; recovery, disciplinary or legal outcomes are weakened; the organisation cannot substantiate its response.

LIKELIHOOD

High — The self-assessment records a hard-gate or maturity-limiting weakness with a very low response; this supports a High qualitative likelihood, not a statistical probability.

IMPACT

High — High impact reflects the plausible consequence pathway and the critical, hard-gate and cap evidence linked to the consolidated findings.

CURRENT CONTROL POSITION

Fraud Incident Response: Informal / reactive — Some activity occurs, but it is informal, reactive or dependent on individual effort

REQUIRED TREATMENT

The investigation lead opens an evidence register for every material case; trained custodians identify sources, create forensic copies or sealed originals, record hashes/seal numbers, collector/time/location and every transfer, store evidence in access-controlled repositories, and escalate any custody break immediately to Legal.

ACCOUNTABLE EXECUTIVE

Legal / investigations accountable owner / Finance / operations accountable owner

TARGET PERIOD

60 days

RISK 4 · OPERATIONAL FRAUD CONTROLS

CRITICAL

Fictitious or conflicted supplier enters the vendor population

Because supplier identity, ownership, banking and conflict checks are incomplete or not evidenced before activation, there is a risk that a fictitious, conflicted or misrepresented supplier is approved and used for purchasing or payment. Consequence pathway: funds are paid to an illegitimate or related party; procurement and vendor-master integrity are compromised; sanctions, conflict or procurement obligations may be breached; stakeholders lose confidence in supplier governance.

LIKELIHOOD

Moderate — Critical-control, scenario or dependency evidence supports a Moderate qualitative likelihood, not a statistical probability.

IMPACT

Severe — Severe impact reflects the plausible consequence pathway and the critical, hard-gate and cap evidence linked to the consolidated findings.

CURRENT CONTROL POSITION

Operational Fraud Controls: Partly designed — The capability has been partly designed, but important elements are incomplete or inconsistent

ACCOUNTABLE EXECUTIVE

Finance / operations accountable owner

REQUIRED TREATMENT

Procurement performs a pre-activation checklist across every proposed supplier, independently verifies registration and bank ownership, screens beneficial owners and conflicts, risk-rates the supplier, and blocks ERP activation until a second reviewer signs; the vendor master retains the evidence package.

TARGET PERIOD

60 days

RISK 5 · OPERATIONAL FRAUD CONTROLS, DIGITAL AND IDENTITY FRAUD RISK

CRITICAL

Unauthorised system access enables transaction or record manipulation

Because privileged, administrator or sensitive-data access is not completely restricted, logged and independently recertified, there is a risk that a privileged user or compromised administrator identity alters records, controls or logs without timely detection. Consequence pathway: confidence in digital controls is damaged; critical systems and audit trails lose integrity; high-impact transactions or data can be manipulated; security and personal-data obligations may be breached.

LIKELIHOOD

High — The self-assessment records a hard-gate or maturity-limiting weakness with a very low response; this supports a High qualitative likelihood, not a statistical probability.

IMPACT

Severe — Severe impact reflects the plausible consequence pathway and the critical, hard-gate and cap evidence linked to the consolidated findings.

CURRENT CONTROL POSITION

Digital and Identity Fraud Risk: Informal / reactive — Some activity occurs, but it is informal, reactive or dependent on individual effort; Operational Fraud Controls: Partly designed — The capability has been partly designed, but important elements are incomplete or inconsistent

REQUIRED TREATMENT

IT Security must maintain a complete sensitive-access inventory, require named identities and strong authentication, enforce least privilege and session logging, and remove access when the business justification ends; periodic recertification is handled by the separate access-review control. System owners must maintain a current role-to-access matrix, require business-owner approval against the requester's current duties before granting access, separate incompatible initiation and approval rights, and retain the request, approval and provisioning trail.

ACCOUNTABLE EXECUTIVE

Technology / security accountable owner

TARGET PERIOD

60 days

RISK 6 · WHISTLEBLOWING AND REPORTING CULTURE

MEDIUM

A channel that people cannot find, do not trust or do not understand produces no reports, leaving management to believe silence means absence of fraud.

Because the self-assessment records "Employees know how to recognise suspected fraud and use the reporting channel" as "Partly designed"; the expected control standard is therefore not yet met, there is a risk that a channel that people cannot find, do not trust or do not understand produces no reports, leaving management to believe silence means absence of fraud. Consequence pathway: Early-warning information may never reach an independent reviewer; suppressed reporting lets fraud continue longer.

LIKELIHOOD

Moderate — Critical-control, scenario or dependency evidence supports a Moderate qualitative likelihood, not a statistical probability.

IMPACT

Moderate — Moderate impact reflects the plausible consequence pathway and the critical, hard-gate and cap evidence linked to the consolidated findings.

CURRENT CONTROL POSITION

Whistleblowing and Reporting Culture: Partly designed — The capability has been partly designed, but important elements are incomplete or inconsistent

REQUIRED TREATMENT

The ethics owner must publish channel instructions covering how to access it by phone and web, what information helps, whether anonymity is available, what feedback the reporter can expect and the protection from retaliation, in the languages and formats used across operating locations; the channel is tested at least annually with a live submission confirming intake, acknowledgement and case creation, and awareness is measured with targeted follow-up where low.

ACCOUNTABLE EXECUTIVE

People / workforce accountable owner

TARGET PERIOD

60 days

LEADERSHIP DECISIONS AND ROADMAP

Leadership decisions and roadmap

Target control environment

Strengthen fraud-risk identification and treatment

Target control design: produce a process-by-process fraud map covering every material value-bearing process. Each map should record the fraud scenarios, the roles and system permissions able to execute them alone or in collusion, the preventive and detective controls relied upon, and any residual gaps. Process owners must sign their own map and any unmapped material process or residual gap without an owner should escalate through the approved route. Accountability for this work rests with the Finance / operations accountable executive, with Risk / compliance as the process owner and named process owners responsible for completion. The approved control response targets a state in which 100% of material value-bearing processes have a signed fraud map with named controls and residual gaps. Management decisions to support this change include naming accountable executives for the control work, approving remediation rather than passive acceptance for Critical and High risks, adopting the control-improvement blueprint as the minimum standard (or an approved variant), sequencing prerequisites before dependent work and confirming a governance and reporting cadence to track delivery. These actions are intended to make process-level risk visible, assign remediation owners and create the basis for subsequent detection and prevention controls; they support, but do not guarantee, improved operating outcomes.

Strengthen supplier onboarding and identity checks

Target control design: require that every supplier activation is preceded by a completed pre-activation checklist, independent registration and bank verification, beneficial-ownership and conflict screening, risk rating and a second-reviewer approval; the vendor master must retain the evidence pack. Procurement / Vendor Master is the process owner and the Finance / operations accountable executive is responsible for delivery. The completion test for this response is that 100% of newly activated suppliers have a complete pre-activation evidence pack and independent approval. Management should approve the control design standard and either resource remediation internally or fund targeted specialist support where needed; any temporary acceptance should be time-bound, named and carry compensating controls. These measures are intended to reduce the chance that a fictitious or conflicted supplier can be used to divert payments.

Strengthen privileged access and recertification

Target control design: maintain a complete sensitive-access and privileged-account inventory with named identities, strong authentication, least-privilege enforcement, continuous session logging and documented business justification for each privileged entitlement. Access must be removed when the business justification ends and privileged accounts recertified on a quarterly cycle with removal tickets and reconciled leaver feeds. Technology / security is the accountable executive and Identity and Access Management is the process owner. The completion test is quarterly independent recertification of 100% of privileged accounts, leaver access removed within 24 hours and zero unjustified shared admin accounts. Management should approve funding and resource allocation for specialist capacity where complexity requires it, and the governance decision must confirm the sequencing of prerequisite work (for example the authoritative identity inventory and central logging) before some downstream controls are implemented. These controls are intended to reduce the risk that excessive or stale privileged rights enable alteration of value-bearing records.

Strengthen monitoring, exception review and escalation

Target control design: maintain a rule catalogue in which every analytic test names the fraud scenario it addresses, the data source, the threshold and the reviewing role; include checks such as duplicate or near-duplicate payments, supplier-employee bank-detail matches, unusual approval pairings and dormant-account reactivation. Scheduled rule execution and monthly tuning must be reconciled to source systems, and every alert must be assigned, investigated and dispositioned with escalation for overdue or high-risk items. Accountability sits with the Finance / operations and Technology / security accountable executives and the fraud analytics owner as process owner. The completion test is that all priority fraud scenarios have at least one operating data check with monthly tuning completed. Management decisions should include allocating delivery funding, confirming prerequisites and approving a reporting cadence so that exception backlogs and closure quality are visible to governance. These measures are intended to increase detection coverage and prompt escalation when anomalies appear.

Strengthen evidence preservation and custody

Target control design: for every material incident, the investigation lead must open an evidence register; trained custodians must identify sources, create forensic copies or sealed originals, record hashes or seal numbers, log collector/time/location and every transfer, store evidence in access-controlled repositories and escalate any custody break immediately to Legal. Legal / investigations and Finance / operations are jointly accountable, with an investigation lead and evidence custodian as process owners. The completion test is that 100% of sampled material-case evidence has a complete custody trail and matching integrity check. Management should approve prerequisite severity definitions and the secure evidence repository and confirm funding or specialist engagement for digital forensic needs where required. These actions support preservation and the credibility of subsequent investigation work.

Strengthen role-based access and segregation

Target control design: system owners must maintain a current role-to-access matrix, require business-owner approval against the requester's current duties before granting access, separate incompatible initiation and approval rights, and retain the request, approval and provisioning trail. Finance / operations is the accountable executive and business system owners are process owners. The completion test is that 100% of the population is reviewed quarterly and that 95% of removal exceptions are closed within 10 business days. Management should approve sequencing so that role definitions and HR joiner/mover/leaver feeds are reconciled before a full access review. These changes are intended to make ordinary-user access consistent with current responsibilities and reduce unauthorized initiation or approval risk.

Leadership decisions required

Every decision below carries a defined accountable executive role and a fixed target period; each is grounded in the material findings, risks and controls set out in this report and in the complete registers in the companion Essential Supporting Register (RPT-MKFRS-V12-COMP-VHUTSHILO-V1-supporting-register.xlsx).

NO.	DECISION REQUIRED	RECOMMENDED DECISION	ACCOUNTABLE EXECUTIVE	TARGET PERIOD	CONSEQUENCE OF DELAY
1	Approve accountable executive mandates and escalation authority for priority remediation.	Name one accountable executive per linked control and approve a 30-day escalation route.	CEO / Managing Director	30 days	Priority controls remain ownerless or blocked and the maturity reading remains constrained.
2	Choose and record remediation rather than passive acceptance for Critical and High risks.	Approve linked treatments; any temporary acceptance must name an owner, expiry and compensating control.	CEO / Managing Director	60 days	Known risk pathways remain untreated without a documented acceptance basis.
3	Approve the target control standards management will implement across the priority risk areas.	Adopt the control-improvement register; deviations require documented oversight approval.	CEO / Managing Director	30 days	Partial or inconsistent designs fail to address the causal pathway.
4	Approve specialist capacity and resources for high-difficulty controls.	Fund the named supporting functions and require a resource-confirmed delivery plan.	Finance / operations accountable owner	60 days	The highest-complexity gaps remain open despite nominal approval.

NO.	DECISION REQUIRED	RECOMMENDED DECISION	ACCOUNTABLE EXECUTIVE	TARGET PERIOD	CONSEQUENCE OF DELAY
5	Approve prerequisite-first sequencing for dependent improvements.	Approve the prerequisite sequence and escalate threatened prerequisites.	CEO / Managing Director	30 days	Downstream controls are implemented on incomplete foundations.
6	Approve a fixed fraud-risk implementation and control-effectiveness review cadence.	Require monthly implementation reporting and quarterly control-effectiveness review through the organisation's management and oversight route.	CEO / Managing Director	60 days	Actions lose momentum, exceptions remain open and management receives the control position too late to intervene.

30/60/90-day roadmap

The first 30 days establish decisions and ownership; the 60- and 90-day windows implement and evidence the linked controls.

By 30 days — Stabilise

In the first 30 days focus on stabilising accountability, escalation and reporting and put proportionate incident and evidence-preservation basics in place. The immediate priority work is to implement independent supplier-identity, ownership, banking and conflict checks before supplier activation, and to confirm the decision-rights matrix for incident triage and escalation so that suspected matters are routed and not managed informally. Proof of completion for the 30-day window is the onboarding checklist evidence, independent registration and bank verification records, second-reviewer approvals for supplier activations, and an agreed incident decision matrix that defines intake, severity and escalation. These stabilising actions create an operational intake route and preserve evidence at first report rather than allowing ad hoc handling.

First 30 days — decisions and foundations

PRIORITY DECISION	DELIVERABLE	ACCOUNTABLE EXECUTIVE	COMPLETION TEST
Approve accountable executive mandates and escalation authority for priority remediation.	Name one accountable executive per linked control and approve a 30-day escalation route.	CEO / Managing Director	Signed mandate names each accountable executive, decision rights and the escalation route.
Approve the target control standards management will implement across the priority risk areas.	Adopt the control-improvement register; deviations require documented oversight approval.	CEO / Managing Director	Approved control-improvement baseline records the required design standard and any authorised deviations.
Approve prerequisite-first sequencing for dependent improvements.	Approve the prerequisite sequence and escalate threatened prerequisites.	CEO / Managing Director	Dependency sequence is approved with named prerequisite owners and escalation for threatened dependencies.

First 30 days — implementation foundations

DOMAIN	DELIVERABLE	ACCOUNTABLE EXECUTIVE	SUCCESS MEASURE
Operational Fraud Controls	Implement the target control design for Operational Fraud Controls. Escalation trigger: Any supplier activated before verification or any ownership/conflict match unresolved.	Finance / operations accountable owner	100% of newly activated suppliers have a complete, pre-activation evidence pack and independent approval.

By 60 days — Establish

Between days 31 and 60 establish the priority preventive controls and the ownership and process changes that support them. This includes reconciling the privileged-account population, enforcing named approvals and collecting recertification evidence; reconciling role-based access and segregation-of-duties exceptions against current responsibilities; and establishing evidence-preservation processes with chain-of-custody forms and an evidence register. The accountable executives and process owners named in the controls should confirm resource arrangements and close the highest-priority exceptions. Proof of completion in this window includes privileged-account registers, removal tickets and quarterly recertification records; access request and approval trails and role-to-access matrices; and chain-of-custody records and evidence-register entries for any material incidents. These steps establish the operational building blocks needed before wide monitoring tuning and broader fraud-risk mapping.

60-day implementation actions

DOMAIN	DELIVERABLE	ACCOUNTABLE EXECUTIVE	SUCCESS MEASURE
Fraud Incident Response	Implement the target control design for Fraud Incident Response. Escalation trigger: Any unexplained custody gap, integrity mismatch or unauthorised repository access.	Legal / investigations accountable owner / Finance / operations accountable owner	100% of sampled material-case evidence has a complete custody trail and matching integrity check.
Operational Fraud Controls	Implement the target control design for Operational Fraud Controls. Escalation trigger: Any missed quarterly review, unassigned account or removal overdue beyond 10 business days.	Finance / operations accountable owner	100% population reviewed quarterly and 95% of removal exceptions closed within 10 business days.
Digital and Identity Fraud Risk	Implement the target control design for Digital and Identity Fraud Risk. Escalation trigger: Any unknown or unjustified privileged account, missed recertification or leaver access beyond 24 hours.	Technology / security accountable owner	100% privileged accounts recertified quarterly; leaver access removed within 24 hours; zero unjustified shared admin accounts.
Third-Party and Supply Chain Fraud Risk	Implement the target control design for Third-Party and Supply Chain Fraud Risk. Escalation trigger: An employee-supplier match not investigated, or a declared conflict with no management action.	Finance / operations accountable owner / Legal / investigations accountable owner	At least 98% declaration completion for in-scope roles, with every identified conflict carrying an applied management action.
Whistleblowing and Reporting Culture	Implement the target control design for Whistleblowing and Reporting Culture. Escalation trigger: A failed channel test, or a site or language group below the awareness threshold.	People / workforce accountable owner	Annual live channel test passes and at least 90% of surveyed staff can describe how to submit a report.

By 90 days — Operate and review

By the end of the first 90-day cycle operate detection tests, exception review and control learning and consolidate progress in governance reporting. Complete the process-level fraud maps so every material value-bearing process has documented scenarios, control linkage and process-owner sign-off. Run the scheduled rule catalogue, complete monthly tuning and evidence that priority fraud scenarios are covered by at least one operating data check. The governance route should receive monthly implementation reporting and a quarterly control-effectiveness review so that delivery slippage, uncovered scenarios or repeated custody exceptions are visible and assigned. Proofs of completion include per-process fraud scenario maps with sign-off, execution logs and monthly tuning records for detection rules, and reconciled proof packages for supplier onboarding and evidence custody. The first operating cycle should make coverage, review, learning and escalation materially visible to management through the agreed reporting cadence.

90-day implementation actions

DOMAIN	DELIVERABLE	ACCOUNTABLE EXECUTIVE	SUCCESS MEASURE
Fraud Risk Identification	Implement the target control design for Fraud Risk Identification. Escalation trigger: Any material process unmapped, or a mapped residual gap with no owner.	Finance / operations accountable owner	100% of material value-bearing processes have a signed fraud map with named controls and residual gaps.
Fraud Detection Capability	Implement the target control design for Fraud Detection Capability. Escalation trigger: A priority scenario with no operating check, or rules unexecuted for a full cycle.	Finance / operations accountable owner / Technology / security accountable owner	All priority fraud scenarios have at least one operating data check, with monthly tuning completed.

Management conclusion

The assessed position is a Developing maturity at 43.33/100 and it signals a clear remediation agenda rather than an absence of any capability. Vhutshilo Foods has comparatively stronger assessed capability in the reporting culture which can be mobilised, but material gaps in process-level fraud mapping, supplier onboarding, privileged and role-based access governance, detection coverage and evidence preservation constrain readiness. Management should approve named accountable executives, confirm the control-improvement standard and sequencing, fund the highest-complexity work where necessary, and run the stabilise-establish-operate cycle described above so the organisation converts the relative strength in reporting into an owned, auditable incident intake, containment and learning process while closing the priority prevention and detection gaps.

PROOF REQUIREMENTS

Proof requirements

The items below are the immediate proof requirements linked to the priority findings above. The complete evidence checklist is not reproduced in this report; it is provided in full in the companion Essential Supporting Register (RPT-MKFRS-V12-COMP-VHUTSHILO-V1-supporting-register.xlsx).

NO.	EVIDENCE ARTEFACT	WHAT IT PROVES	LIKELY OWNER	STATUS
1	Control linkage showing preventive and detective controls	Whether each mapped fraud scenario is linked to named preventive and detective controls, with residual gaps identifiable.	Risk / compliance accountable owner with named process owners	Not yet requested
2	Per-process fraud scenario map	Whether each material process has explicit fraud scenarios, relevant roles or permissions and residual exposure documented.	Risk / compliance accountable owner with named process owners	Not yet requested
3	Process inventory identifying material value-bearing processes	Whether the complete population of material value-bearing processes has been identified before fraud-risk mapping is assessed.	Risk / compliance accountable owner with named process owners	Not yet requested
4	Process-owner sign-off	Whether process owners have reviewed and accepted the mapped fraud scenarios, control ownership and residual gaps.	Risk / compliance accountable owner with named process owners	Not yet requested
5	Beneficial-ownership/conflict screening	Whether proposed suppliers are screened for ownership and conflict indicators before activation and any exceptions are resolved or approved.	Procurement / Vendor Master	Not yet requested
6	Completed onboarding checklist	Whether the required supplier due-diligence checks were completed before activation for the in-scope supplier population.	Procurement / Vendor Master	Not yet requested
7	Independent registration and bank verification	Whether supplier legal identity and bank-account ownership were independently verified before activation or payment.	Procurement / Vendor Master	Not yet requested
8	Second-reviewer approval	Whether supplier activation or another high-risk change received the required independent second-person approval before release.	Procurement / Vendor Master	Not yet requested

NO.	EVIDENCE ARTEFACT	WHAT IT PROVES	LIKELY OWNER	STATUS
9	Approval and business justification	Whether every privileged-access assignment in scope has an approved business justification, a named accountable owner and a documented basis for the level of access granted.	Identity and Access Management	Not yet requested
10	Privileged-account register	Whether the complete privileged-account population is recorded with account type, system, owner, privilege level, status and review date so that unknown or unjustified access can be identified.	Identity and Access Management	Not yet requested
11	Privileged-session/access logs	Whether privileged activity is attributable to named accounts and reviewable for unusual, unauthorised or out-of-pattern activity during the stated period.	Identity and Access Management	Not yet requested
12	Quarterly independent recertification	Whether the complete privileged-access population was independently reviewed on schedule, with explicit keep-or-remove decisions and unresolved exceptions identified.	Identity and Access Management	Not yet requested
13	Removal tickets	Whether access removals identified through recertification, role change or leaver events were completed within the required service level and are traceable to closure evidence.	Identity and Access Management	Not yet requested
14	Chain-of-custody forms	Whether each transfer of material evidence records custody, timing and handover without unexplained gaps.	Investigation lead / Evidence custodian	Not yet requested
15	Evidence register	Whether all material evidence items are uniquely recorded, assigned and traceable through the case.	Investigation lead / Evidence custodian	Not yet requested

Required population for every item: the complete in-scope population for the stated operating period, reconciled to the source system or register. Sampling expectation: review the complete population where feasible; otherwise use a documented risk-based sample including exceptions, changes and overdue items. Every item begins with the status "Not yet requested"; status changes require a separately scoped review process outside this report. This remains a self-assessment: no document, interview, transaction sample or system evidence has been independently verified for any item.

METHODOLOGY, LIMITATIONS AND NEXT STEPS

Methodology, limitations and next steps

This report is generated from a structured self-assessment across ten fraud-risk-management domains. The score, maturity ceilings and advisory model use only the recorded assessment inputs and the MK Fraud Readiness methodology.

Limitations. This is not a forensic investigation, external audit, compliance certification or guarantee. Responses were not independently verified. Findings, scenarios and recommendations are decision-support material; leadership should obtain the specified operating proof before treating a control as effective or a finding as resolved.

Control design standard. Priority controls are specified by responsibility, population or scope, operating frequency, retained evidence, independent challenge, escalation trigger, service level, effectiveness measure and response to failure.

Companion register. The complete Essential delivery includes the Essential Supporting Register (RPT-MKFRS-V12-COMP-VHUTSHILO-V1-supporting-register.xlsx). It carries the complete finding, risk, control-action, evidence, roadmap and question-trace registers that are intentionally bounded in this PDF.

Assessment basis: submitted self-assessment responses and the MK Fraud Readiness methodology.

Recommended next step. Commission independent validation of the control linkage showing preventive and detective controls. Confirm whether each mapped fraud scenario is linked to named preventive and detective controls, with residual gaps identifiable. This is the immediate proof priority; the complete sequence is set out in Proof requirements above and the full checklist in the companion Essential Supporting Register (RPT-MKFRS-V12-COMP-VHUTSHILO-V1-supporting-register.xlsx).

Appendix: supporting material

Bounded supporting material for the priority matters above. The complete authoritative registers are provided in the supporting register, not reproduced here.

Complete supporting detail

This report presents the highest-priority matters from a complete assessment inventory of 68 controls (60 applicable and 8 excluded). The full assessment identified 25 material findings, 24 risks, 25 control improvements, 105 evidence artefacts, 25 recommended actions and 59 functional-agenda items.

Every item not shown in this report is retained in full in the Essential Supporting Register (RPT-MKFRS-V12-COMP-VHUTSHILO-V1-supporting-register.xlsx). No identified weakness has been discarded.

E1. Supporting control actions

Further control actions beyond the priority set above, in materiality order.

NO.	DOMAIN	CONTROL OBJECTIVE	CONTROL DESIGN	OWNER / TARGET
1	Operational Fraud Controls	Close the material control weakness recorded for "Transactions or operational activities above defined risk or value thresholds require independent review or approval".	The Finance / operations accountable owner must approve a delegation of authority matrix setting value and risk thresholds by transaction type, configure the finance and operational systems to block release above threshold without a second independent approver, prohibit self-approval and approval by direct reports of the initiator, and run a monthly report for split transactions falling just below thresholds and for any threshold override.	Finance / operations accountable owner / 60 days
2	Operational Fraud Controls	Close the material control weakness recorded for "People in high-risk roles are subject to appropriate oversight, rotation, secondary review or other compensating controls".	Human Resources and the Risk / compliance accountable owner must jointly define high-risk roles by authority, system access and asset custody, and apply documented measures to each: secondary review of sensitive outputs, periodic rotation or cross-training, a block-leave or cover period during which another person performs the duties, and enhanced transaction monitoring; measures are applied consistently, recorded, and reviewed annually for coverage and fairness.	Finance / operations accountable owner / People / workforce accountable owner / 90 days
3	Fraud Detection Capability	Close the material control weakness recorded for "Exception reporting provides defined alerts for unusual transactions or activities and a documented review process".	The monitoring owner generates a complete daily or weekly exception queue, assigns each alert to a trained reviewer, records investigation evidence and disposition, and escalates high-risk alerts immediately and all overdue alerts weekly; Risk performs a monthly closure-quality sample.	Finance / operations accountable owner / 60 days
4	Fraud Detection Capability	Close the material control weakness recorded for "Monitoring covers fraud and control misuse by people inside the organisation".	The monitoring owner must define internal-misuse scenarios for privileged use, overrides, unusual approvals, manual adjustments and other value-bearing activity; reconcile the monitored population to source systems, assign alerts to an independent reviewer and retain disposition and escalation evidence.	Finance / operations accountable owner / Technology / security accountable owner / 90 days

NO.	DOMAIN	CONTROL OBJECTIVE	CONTROL DESIGN	OWNER / TARGET
5	Fraud Detection Capability	Close the material control weakness recorded for "Monitoring covers fraud threats from external parties relevant to the organisation".	The fraud-monitoring owner must identify relevant external-party threats across customer, supplier, partner and provider-operated channels, define required provider reports and data quality checks, reconcile those reports to the organisation's own systems where possible, and route exceptions into owned triage and escalation.	Finance / operations accountable owner / Technology / security accountable owner / 90 days
6	Third-Party and Supply Chain Fraud Risk	Close the material control weakness recorded for "Fraud risks are considered when using agents, brokers, distributors, intermediaries, partners or outsourced service providers where relevant".	The relationship owner must ensure every intermediary or outsourced arrangement defines in contract the fraud-control obligations, the limits of delegated authority, the right to audit and obtain records, incident-notification duties and consequences for breach; oversight includes reconciliation of transactions and collections handled on the organisation's behalf, periodic assurance over the provider's relevant controls, and review of any sub-contracting before it occurs.	Finance / operations accountable owner / 90 days
7	Digital and Identity Fraud Risk	Close the material control weakness recorded for "Sensitive access and administrator rights are reviewed periodically".	IT Security must reconcile the complete sensitive-access and administrator population to current owners and role requirements at least quarterly, obtain an independent keep/remove decision from system owners, record exceptions and close removals within the defined service level; emergency and service accounts are included.	Technology / security accountable owner / 60 days
8	Operational Fraud Controls	Close the material control weakness recorded for "System and data access is reviewed periodically and removed when no longer required".	System owners must export the complete active-user access population on a defined cycle, obtain business-owner keep/remove decisions against current responsibilities, route exceptions to IT for closure and reconcile leaver and mover removals to the HR feed.	Finance / operations accountable owner / 60 days
9	Operational Fraud Controls	Close the material control weakness recorded for "Payroll master-file changes and unusual payroll records receive review before payment".	Payroll and Human Resources must reconcile joiner, mover and leaver records to the payroll master file before each payment run, independently review bank-account and pay-rate changes, test for duplicate or ghost records and unusual payments, and retain reviewer decisions and exception closure before release.	Finance / operations accountable owner / People / workforce accountable owner / 60 days
10	Operational Fraud Controls	Close the material control weakness recorded for "Physical cash is counted, safeguarded and reconciled by defined people".	Finance and site managers must assign cash custodians, perform opening and closing counts with independent review, reconcile takings to receipts and bankings, record sealed transfers and investigate every shortage or overage against a defined threshold before the next cycle closes.	Finance / operations accountable owner / 60 days
11	Operational Fraud Controls	Close the material control weakness recorded for "Stock and physical assets are safeguarded and reconciled by defined people".	Operations and Finance must maintain a complete stock and asset register, assign custodians, require authorised movement and disposal records, perform risk-based counts across locations, reconcile results to the ledger or inventory system and independently approve write-offs and investigate shrinkage exceptions.	Finance / operations accountable owner / 90 days
12	Fraud Detection Capability	Close the material control weakness recorded for "People responsible for monitoring suspicious activity know when to escalate concerns and have authority to do so".	The Risk / compliance accountable owner must publish escalation criteria defining what must be escalated, to whom and within what time, grant monitoring staff explicit authority to escalate directly to the fraud-risk executive or Governing body / independent oversight where a manager is implicated, protect escalators from retaliation, train the monitoring team annually, and review escalation timeliness against criteria each quarter.	Risk / compliance accountable owner / 30 days

NO.	DOMAIN	CONTROL OBJECTIVE	CONTROL DESIGN	OWNER / TARGET
13	Fraud Detection Capability	Close the material control weakness recorded for "Detection controls are periodically reviewed for effectiveness by management, risk, audit or another independent reviewer".	The Governing body / independent oversight must commission a periodic independent evaluation of detection effectiveness covering coverage against the process fraud maps, data completeness, sample retesting of closed alerts for closure quality, and detection of deliberately seeded test conditions where practical; findings are reported to governance with owners and due dates, and remediation is tracked to closure.	Governing body / independent oversight / 90 days
14	Fraud Incident Response	Close the material control weakness recorded for "Roles and decision rights are defined for fraud triage, investigation, escalation and case closure".	The incident-response lead must maintain a decision-rights matrix covering intake, severity, triage, investigation, escalation, disciplinary or recovery referral and closure; conflicts are recorded, independent challenge is available and every decision is retained in the case record.	Finance / operations accountable owner / Legal / investigations accountable owner / 30 days
15	Fraud Incident Response	Close the material control weakness recorded for "External specialists are considered when incidents require forensic, legal, cyber or investigative expertise".	The incident-response lead must define engagement triggers such as suspected loss above a threshold, digital forensic imaging requirements, senior-management or governing-body involvement, cross-border elements or likely litigation; pre-qualify providers for forensic accounting, digital forensics and investigative legal support with confidentiality, privilege, data-protection and evidential-standard terms agreed in advance, and record the decision to engage or not engage in every qualifying case.	Legal / investigations accountable owner / Finance / operations accountable owner / 60 days
16	Whistleblowing and Reporting Culture	Close the material control weakness recorded for "Relevant external stakeholders have an appropriate way to report suspected fraud or misconduct".	The ethics owner must publish the external reporting route for each relevant stakeholder group, state confidentiality and anti-retaliation protections, restrict access to reports, route concerns away from implicated managers and monitor acknowledgement, triage and escalation times.	Governing body / independent oversight / CEO / 60 days
17	Third-Party and Supply Chain Fraud Risk	Close the material control weakness recorded for "The organisation receives and reviews risk information about high-risk third parties managed on its behalf".	The vendor-risk owner must define a risk-based monitoring cycle in which high-risk third parties are re-screened for ownership and sanctions change, reviewed for delivery and quality performance, tested for pricing drift against benchmark or contract, and analysed for spend concentration and unusual growth; findings requiring action are logged with owners, and failure to complete a cycle triggers escalation to the Finance / operations accountable owner.	Finance / operations accountable owner / 90 days

E2. Definitions and score basis

How the score is calculated

Each applicable assessment response is normalised to a 0–100 control score and weighted within its domain. Domain scores are then combined using the methodology's domain weights to produce the overall readiness score. A control recorded as not applicable is excluded from its scoring denominator rather than treated as a weakness.

The weighted overall score is 43.33/100, which maps numerically to Developing. The final maturity shown in this report is Developing. The next numerical band begins at 60/100; a higher numerical score alone does not override a stricter applicable maturity ceiling.

Maturity scale

MATURITY	SCORE RANGE	INTERPRETATION
Reactive	0–<40	Foundational controls are limited or mainly reactive.
Developing	40–<60	Core control elements exist but are incomplete, inconsistent or not yet connected.

MATURITY	SCORE RANGE	INTERPRETATION
Structured	60–<80	Controls are more consistently defined, owned and operated.
Strategic	80–100	Fraud-risk management is embedded, monitored and continually improved.

Maturity ceilings

Maturity ceilings protect against a strong average masking a material weakness. A hard-gate critical control scored 0 or 1 sets a maximum of Developing; a hard-gate control scored 2 sets a maximum of Structured; three or more critical controls scored 0, 1 or 2 set a maximum of Developing; any core domain below 40 sets a maximum of Developing; and any core domain below 60 sets a maximum of Structured. Where several ceilings apply, the strictest ceiling governs the final maturity.

Reported domain scores

DOMAIN	REPORTED SCORE	MATURITY
Fraud Leadership and Governance	42/100	Developing
Fraud Risk Identification	39/100	Reactive
Operational Fraud Controls	41/100	Developing
Fraud Detection Capability	41/100	Developing
Fraud Incident Response	44/100	Developing
Whistleblowing and Reporting Culture	61/100	Structured
Third-Party and Supply Chain Fraud Risk	47/100	Developing
Digital and Identity Fraud Risk	38/100	Reactive
Fraud Culture and Awareness	57/100	Developing
Continuous Improvement and Fraud Risk Monitoring	41/100	Developing

Risk priority uses the MK qualitative likelihood/impact matrix. Risks in the same priority class are not further ranked by their display sequence. Priority and materiality are derived from assessment evidence; neither is an independent risk assessment.